

The negotiable gap was never in the labour rates — it sat in overhead and margin.

A field-services renewal was set to roll forward historical rates. Rebuilding the supplier’s economics from the cost drivers up moved the negotiation onto what the service should cost, and secured ~£2M a year with the incumbent retained.

INDUSTRY Telecommunications	ENGAGEMENT CONTEXT In-house category ownership · BT Group	ROLE Category & sourcing manager — renewal and negotiation	DURATION 6 months
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THE SITUATION

- A multi-year regional service-delivery contract was nearing renewal with no refreshed cost baseline.
- Rates had been accepted for years without visibility of the supplier’s cost build-up.
- Pressing a regional incumbent too hard would put field-service delivery at risk.

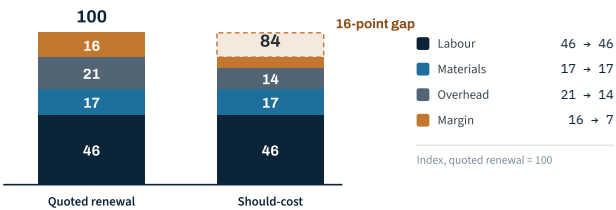
MY CONTRIBUTION

Led the renewal end to end: built the should-cost model from first principles, priced the total cost of mobilisation, travel, service credits and rework, set the negotiation strategy and walk-away position, and led the supplier negotiation to close.

THE JUDGMENT THAT MATTERED

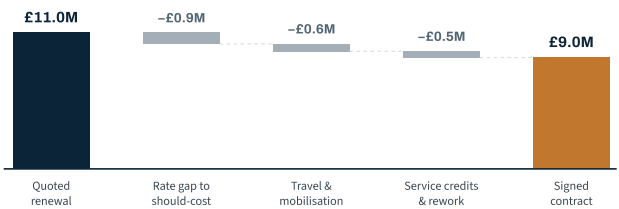
The negotiation that mattered was total service economics, not the headline day rate. A lower rate means little if mobilisation or rework push cost back up, so the ask was sequenced to take the margin gap while protecting continuity.

EXHIBIT 1 Labour and materials matched; the 16-point gap sat in overhead and margin Indexed annual cost by element



SO WHAT
Overhead and margin sat 16 points above a defensible build-up, which made the gap negotiable rather than a market price to accept.

EXHIBIT 2 Four levers took the contract from £11.0M to £9.0M a year £M, annual contract value, rounded



SO WHAT
The rate move took roughly the margin gap (~9 of 16 points), leaving overhead to protect continuity. The rest came from costs the day rate hides.

WHAT THE WORK DELIVERED

~£2M a year locked into the renewed contract, with the incumbent retained and delivery uninterrupted.

Total-cost visibility across rates, travel, mobilisation, service levels and rework.

A defensible should-cost baseline left with the team to anchor the next renewal cycle.

HEADLINE
~£2M
a year — about 18% of annual contract value

Sources. Should-cost model built from first principles — labour and productivity, materials, overhead recovery, fair margin — indexed to the quoted renewal = 100. Total-cost build covers rates, mobilisation, travel, service credits and rework. BT Group named as engagement context; the supplier is withheld. **Anonymisation & basis.** Client, supplier and peer identities withheld. Outcome figures are rounded from engagement results; exhibit internals are indexed or illustrative and show the analytical structure, not client data.